

Commercial Pricing Engine Manual

A practical guide for setting commercial cleaning prices with examples, formulas, and explanation notes for users and clients.

Purpose

The commercial pricing engine helps users turn cleaning scope, labor assumptions, operating costs, and margin rules into an explainable client price. It is designed to make pricing consistent, defensible, and easier to explain.

- Estimate how much labor is needed.
- Calculate the real loaded labor cost after burden.
- Add operating costs like insurance, admin, travel, equipment, and supplies.
- Apply margin rules so the final price is profitable.

Plain-language client explanation

Your price is based on facility size, cleaning frequency, expected labor hours, supplies, equipment, travel, insurance, supervision, and the level of detail required. This helps ensure the job is staffed correctly and priced sustainably.

Key Pricing Terms

Input	Value	Why it matters
Labor cost per hour	\$20.00/hr	The direct wage or labor cost before burden.
Labor burden	25%	Payroll taxes, workers compensation, benefits, paid time off, and related labor overhead.
Loaded labor cost	\$25.00/hr	The true labor cost after burden is added.
Client hourly rate	\$35.00/hr	The hourly rate charged to the client for detailed hourly pricing.
Target profit margin	25%	The desired profit percentage after service costs.

Loaded labor cost = labor cost per hour x (1 + labor burden)
 $\$20.00 \times 1.25 = \$25.00/\text{hr}$

Client price = cost / (1 - target profit margin)
 $\$100.00 / 0.75 = \133.33

Pricing Methods

Fast Estimate, Per Square Foot

Use this method when the account is a standard recurring commercial cleaning job and square footage is a reliable pricing anchor.

- Offices
- Retail stores
- Warehouses
- Standard recurring janitorial work

Square feet: 18,000
Base rate: \$0.10 per sq ft
Base monthly price: 18,000 x \$0.10 = \$1,800

Detailed Estimate, Hourly

Use this method when pricing needs to be more operationally defensible based on expected labor hours.

- Medical spaces
- High fixture density spaces
- Irregular scope
- Heavy traffic buildings

Monthly labor hours: 90
Client hourly rate: \$35.00
Hourly price: 90 x \$35.00 = \$3,150

Step 1: Commercial Setup

This step sets the pricing method and main pricing guardrails.

Input	Value	Why it matters
Base rate per sq ft	\$0.10 to \$0.15	Creates quick recurring estimates.
Hourly client rate	\$35 to \$45	Used for detailed labor-heavy jobs.
Minimum monthly charge	\$250 to \$450	Protects small accounts from being underpriced.

Step 2: Labor Assumptions

Labor assumptions are the foundation of the engine. If labor is wrong, the final price will be wrong.

Labor cost per hour: \$20.00
Labor burden: 25%
Loaded labor cost: \$20.00 x 1.25 = \$25.00/hr

Target margin: 25%
Target client hourly rate: $\$25.00 / 0.75 = \$33.33/\text{hr}$

If client hourly rate is \$35.00:
Gross margin dollars = $\$35.00 - \$25.00 = \$10.00/\text{hr}$
Gross margin percentage = $\$10.00 / \$35.00 = 28.6\%$

How to use it

Set labor cost to the actual wage or direct worker cost. Set burden to real employer cost, usually 20% to 30% for employees. Do not use burden to force the client price.

Step 3: Productivity by Building Type

Productivity tells the engine how many square feet can be cleaned per labor hour.

Input	Value	Why it matters
Office	2,500 sq ft/hr	Good default for normal office cleaning.
Medical	1,500 sq ft/hr	Lower because detail and sanitization are higher.
Warehouse	3,500 sq ft/hr	Higher because open floor space is usually faster.
Retail	2,400 sq ft/hr	Slightly lower because traffic and appearance matter.

Building size: 18,000 sq ft
Office productivity: 2,500 sq ft/hr
Labor hours per visit: $18,000 / 2,500 = 7.2$ hours

Step 4: Operating Cost Stack

Operating costs sit on top of loaded labor. These prevent hidden business costs from silently reducing profit.

Input	Value	Why it matters
Insurance	8%	Accounts for insurance and risk cost.
Admin overhead	12%	Covers scheduling, management, billing, and office work.
Travel per visit	\$15	Covers route time, fuel, parking, and vehicle cost.
Equipment	5%	Covers vacuums, machines, carts, tools, repair, and replacement.
Supplies	4%	Covers chemicals, liners, consumables, and included paper goods.

Labor hours per visit: 4
 Labor cost per hour: \$20
 Labor burden: 25%
 Loaded labor: $4 \times \$20 \times 1.25 = \100

Insurance: $\$100 \times 8\% = \8
 Admin overhead: $\$100 \times 12\% = \12
 Equipment: $\$100 \times 5\% = \5
 Supplies: $\$100 \times 4\% = \4
 Travel: \$15

Total cost per visit: $\$100 + \$44 = \$144$

Monthly visits: 21.67
 Monthly cost before profit: $\$144 \times 21.67 = \$3,120.48$
 Client monthly price at 25% margin: $\$3,120.48 / 0.75 = \$4,160.64$

Step 5: Margin Rules

Margin turns cost into the client-facing price. A 25% margin means 25% of the final price remains after costs, not that 25% is added to cost.

Input	Value	Why it matters
20%	Competitive	Useful for aggressive bids, but leaves less room for drift.
25%	Standard	Healthy default for recurring commercial work.
30%+	Premium	Useful for high-risk, complex, or demanding accounts.

Monthly cost before profit: \$3,120.48
 Target profit margin: 25%
 Client monthly price: $\$3,120.48 / 0.75 = \$4,160.64$
 Profit dollars: \$1,040.16

Step 6: Adjustments

Adjustments tune the price for site difficulty. They should be used when the site is easier or harder than a normal account.

Input	Value	Why it matters
Floor type multiplier	VCT 1.10, carpet 1.00	Some floors need more labor, equipment, or skill.
Condition multiplier	Standard 1.00, hard 1.30	Neglected buildings take longer.
Traffic multiplier	Low 1.00, high 1.20	High-traffic spaces need more touchpoint cleaning and correction.

Full Worked Example

Scenario:

Client: Standard office
Square feet: 18,000
Frequency: 5x per week
Monthly visits: 21.67
Productivity: 2,500 sq ft/hr
Labor cost: \$20/hr
Labor burden: 25%
Insurance: 8%
Admin: 12%
Equipment: 5%
Supplies: 4%
Travel: \$15/visit
Target margin: 25%

Labor:

Hours per visit: $18,000 / 2,500 = 7.2$
Base labor: $7.2 \times \$20 = \144
Burden: $\$144 \times 25\% = \36
Loaded labor: \$180

Operating costs:

Insurance: \$14.40
Admin: \$21.60
Equipment: \$9.00
Supplies: \$7.20
Travel: \$15.00
Total add-ons: \$67.20
Total cost per visit: \$247.20

Monthly cost before profit: $\$247.20 \times 21.67 = \$5,357.42$
Client price with 25% margin: $\$5,357.42 / 0.75 = \$7,143.23/\text{month}$

Sanity check:

Monthly labor hours: $7.2 \times 21.67 = 156.02$
Effective client hourly rate: $\$7,143.23 / 156.02 = \$45.78/\text{hr}$

Estimator note

If the effective hourly rate feels high or low for the market, review productivity, frequency, scope, supply responsibility, travel, and target margin before sending the proposal.

Practical Starting Template

Input	Value	Why it matters
Base rate per sq ft	\$0.10 to \$0.15	Good starting range for standard commercial.
Hourly client rate	\$35 to \$45	Use higher rates for complex or premium service.
Labor cost per hour	\$18 to \$24	Use actual worker wage or contractor

Input	Value	Why it matters
		cost.
Labor burden	20% to 30%	Use real employer burden for employees.
Insurance	8%	Default risk cost.
Admin overhead	12%	Default management overhead.
Travel	\$15/visit	Adjust by route distance and parking.
Equipment	5%	Default equipment allowance.
Supplies	4%	Default supply allowance.
Target margin	25%	Healthy standard recurring target.
Subcontractor split	60%	Only payout logic, not company profit.

Common Mistakes

- Setting labor burden to zero for employees.
- Forgetting travel cost for small accounts.
- Using office productivity for medical or high-detail buildings.
- Setting target margin too low.
- Ignoring minimum monthly charge.
- Treating subcontractor payout as profit.
- Sending the price without reviewing the effective hourly rate.

Final Review Checklist

- Square footage is correct.
- Frequency is correct.
- Building type productivity is realistic.
- Labor cost matches actual wage or contractor cost.
- Labor burden reflects real payroll cost.
- Travel is included.
- Supplies are included if Hygieia provides them.
- Target margin is acceptable.
- Minimum charge protects small jobs.
- Final monthly price makes sense for the market.